

Marketing Research Project

Applying the Marketing Research Process to **Danone Egypt's Distribution and Availability Challenge**

Based on Malhotra, Essentials of Marketing Research (Chapters 1 to 5)

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Table of Contents

TOC \h \o "1-2"

A Note on Sources and Citations

Throughout this report, every externally sourced figure or factual claim is followed by a bracketed citation number, for example ^[2]. Each number corresponds to a numbered entry in the References section on the final page, where the full source and a direct link are given so that any reader can verify the information. The same source keeps the same number wherever it appears. Industry figures are drawn from company materials and market-research and government sources of differing dates and authority; readers should treat them as best-available secondary estimates rather than audited figures.

Executive Summary

This project applies the marketing research process taught across the first five chapters of Malhotra's Essentials of Marketing Research ^[1] to a real business problem facing Danone Egypt in the country's dairy market. Danone competes mainly through premium, well-known brands such as Activia and Danette, yet it reaches far fewer retail outlets than the market leader, Juhayna. In a market where small traditional grocers account for the overwhelming majority of outlets and roughly three quarters of dairy sales ^[4], limited shelf presence is a structural disadvantage that can directly translate into lost sales and brand switching.

The management decision problem is whether Danone Egypt should expand its distribution reach to compete with Juhayna's coverage. The corresponding marketing research problem is to determine how limited product availability affects Egyptian consumers' yogurt purchase decisions and Danone's lost sales, and to identify the distribution barriers from the retailer's point of view. The study combines an exploratory phase (secondary data and qualitative depth interviews with small-shop owners) with a descriptive phase (a structured consumer survey distributed electronically).

Secondary data already confirm a large coverage gap: Juhayna reaches an estimated 243,000 retail outlets through 39 distribution centers and a fleet of more than 1,000 vehicles ^[2], while Danone Egypt reaches roughly 100,000 points of sale through 31 distribution centers, supplemented by a rural micro-distribution program ^[3]. This report sets out the full research design, the data collection instruments, and the framework for analyzing the primary data once collection is complete.

Chapter 1: Introduction to Marketing Research and Project Background

1.1 What Marketing Research Is

Marketing research is the systematic and objective identification, collection, analysis, dissemination, and use of information for the purpose of improving decision making related to the identification and solution of problems and opportunities in marketing ^[1]. It links the organization to its market environment and reduces the uncertainty that surrounds managerial decisions. In this project, marketing research is used to investigate a specific, real decision that Danone Egypt faces about its route to market.

1.2 The Marketing Research Process

Malhotra describes marketing research as a six-step process ^[1]. This project is organized around that process, and each chapter of this report corresponds to one or more of these steps:

1. Defining the problem (Chapter 2).
2. Developing an approach to the problem (Chapter 2).
3. Formulating the research design (Chapter 3).
4. Collecting the data through qualitative and survey methods (Chapters 4 and 5).
5. Preparing and analyzing the data (Chapter 5).
6. Preparing and presenting the report (this document and the accompanying presentation).

1.3 Company Background: Danone Egypt

Danone is a multinational food company with a strong global position in dairy and plant-based products. In Egypt, Danone competes in the dairy category, with a portfolio led by yogurt and dairy desserts. Its best-known brands include Activia, positioned around digestive health, and Danette, a dairy dessert. Danone's strategy in Egypt has emphasized premium, branded, value-added products and brand building, rather than the broad, low-cost mass distribution pursued by some local competitors ^[3].

1.4 Industry Background: The Egyptian Dairy Market

The Egyptian dairy market is large and growing, valued at roughly USD 2.37 billion in 2024 and projected to grow substantially over the coming years ^{[6][7]}. Competition is intense and includes vertically integrated local champions such as Juhayna and Domty, regional players such as Almarai (through Beyti), and multinationals such as Danone and Lactalis ^[5]. A defining feature of the market is the dominance of traditional trade: small grocery stores account for the large majority of retail outlets and the bulk of dairy sales ^[4], which makes physical availability at the neighbourhood level a critical success factor.

1.5 The Observed Problem and Purpose of the Project

During earlier coursework the group observed that Danone does not reach every corner of the Egyptian market in the way that Juhayna does. Juhayna operates an extensive owned distribution network with a large refrigerated fleet that services retailers nationwide ^[2], whereas Danone's coverage is narrower ^[3]. The purpose of this project is to investigate this distribution

and availability gap using the marketing research process, to quantify its effect on consumer behaviour, and to provide an evidence-based recommendation to management.

Chapter 2: Defining the Problem and Developing an Approach

Defining the marketing research problem is the most important step in the research process ^[1]. A clear problem definition requires distinguishing the management decision problem from the marketing research problem, and then developing an approach that specifies the objectives, the theoretical framework, the research questions, and the hypotheses.

2.1 Management Decision Problem

The management decision problem asks what the decision maker needs to do. It is action oriented. For Danone Egypt it is stated as: Should Danone Egypt expand its distribution reach to compete with Juhayna's coverage in the Egyptian dairy market?

2.2 Marketing Research Problem

The marketing research problem asks what information is needed and how it can best be obtained. It is information oriented. For this project it is stated as: To determine the extent to which limited product availability affects Egyptian consumers' yogurt purchase decisions and Danone's brand switching and lost sales, and to identify the distribution barriers from the retailer's perspective.

2.3 Components of the Approach

Objective and Theoretical Framework

The study draws on the marketing principle that distribution, the place element of the marketing mix, converts brand preference into actual purchase only when the product is physically available at the point and moment of decision. When a preferred brand is absent from the shelf, consumers frequently substitute an available competitor, generating lost sales for the absent brand. This framework links three constructs: physical availability, consumer purchase behaviour, and brand switching.

Analytical Model

The conceptual model proposes that the perceived availability of a brand influences purchase of that brand, both directly and through its effect on the consumer's likelihood of substituting a competing brand when the preferred brand is not found. Availability is expected to interact with area type, with the gap between Danone and Juhayna being wider outside the major cities.

Research Questions

- RQ1. Where do Egyptian consumers buy yogurt, and how important is availability in their brand choice?
- RQ2. How does the perceived availability of Danone compare with Juhayna and other competitors?
- RQ3. How often do consumers switch away from Danone because it is unavailable?
- RQ4. Does the perceived availability gap differ by area type and store type?
- RQ5. From the retailer's side, what are the barriers to stocking Danone compared with Juhayna?

Hypotheses

- H1: Product availability significantly influences yogurt brand choice.
- H2: Danone's perceived availability is significantly lower than Juhayna's.

- H3: A significant share of consumers have switched from Danone to a competitor because Danone was unavailable.
- H4: The perceived availability gap is larger in rural and non-urban areas than in major cities.

Information Needed

To address the research problem the study needs: consumer purchase locations and frequency; brand awareness, preference, and actual purchase; the perceived availability of each major brand; the incidence and consequences of not finding Danone; attitudes toward availability; and demographic and geographic descriptors. From retailers the study needs information on which brands are stocked, the frequency of sales-representative visits, delivery and credit terms, refrigeration support, and demand for Danone relative to its availability.

Chapter 3: Research Design and Secondary Data

3.1 Research Design

A research design is the framework or blueprint for conducting the research. Designs are broadly classified as exploratory or conclusive, and conclusive designs are further divided into descriptive and causal ^[1]. This project uses a combination design. An exploratory phase, based on secondary data and qualitative depth interviews, is used to understand the distribution issue and refine the survey. A descriptive, cross-sectional phase, based on a single structured consumer survey administered once to the sample, is used to quantify the relationships of interest.

3.2 Secondary Data

Secondary data are data collected for some purpose other than the problem at hand ^[1]. They are quick and inexpensive to obtain and were used here to establish the existence and scale of the distribution gap before primary data collection. The key findings are summarized below.

3.2.1 The Distribution Gap

Metric	Juhayna [2]	Danone Egypt [3]
Distribution centers	39	31 (7 direct + 24 indirect)
Fleet	1,000+ vehicles	Smaller; converting to refrigerated EVs
Retail outlets reached	~243,000	~100,000 (+ ~50,000 rural via micro-distributors)

Sources: Juhayna distribution figures ^[2]; Danone Egypt distribution figures ^[3].

Juhayna's network is widely described as the largest among its peers and as costly and difficult for competitors to replicate, and it is cited as a major source of the company's brand awareness lead ^[2]. Danone reaches a smaller base of outlets and has extended into rural areas through a micro-distribution program rather than through a comparably large owned fleet ^[3].

3.2.2 Market Structure

- Traditional grocery stores represent about 96.6 percent of all retail outlets and roughly 74 percent of total dairy sales, with an estimated 113,724 traditional grocers nationwide. ^[4]
- Cairo, Alexandria, and Giza are the main distribution hubs; rural areas face cold-chain and last-mile gaps. ^[4]
- In the yogurt and sour-milk category, leadership is shared among Lactalis, Almarai through Beyti, and Juhayna, while Danone competes as a premium player. ^[5]
- The Egyptian dairy market was valued at approximately USD 2.37 billion in 2024 and is projected to grow strongly to 2033. ^{[6] [7]}

3.2.3 Implication for the Study

The secondary data establish that a substantial coverage gap exists and that the decisive channel is the small traditional store. They do not, however, reveal how consumers experience that gap or how much sales it costs Danone. Those questions require primary data, which the qualitative and survey phases are designed to provide.

Chapter 4: Qualitative Research

4.1 Role and Rationale

Qualitative research is unstructured, exploratory research based on small samples that provides insight and understanding of the problem setting ^[1]. It is used here to understand the supply side of the distribution gap, that is, why small retailers stock Juhayna more readily than Danone. The chosen technique is the depth interview rather than the focus group, because retailers are competitors to one another and are usually busy at their shops, and one-to-one interviews elicit more candid answers about stocking decisions, sales-representative behaviour, and margins.

4.2 Interview Design

Semi-structured depth interviews of roughly ten to fifteen minutes were designed for owners of small grocery stores. The interview guide moves from a warm-up about the shop, to the brands stocked, to the core comparison of Danone and Juhayna on visit frequency, delivery, payment terms, returns, and refrigeration support, and finally to demand for Danone relative to its availability. The full guide is included in the appendix.

4.3 Sample

A small purposive sample of three to five retailers was targeted, deliberately mixing at least one shop in a city centre and one in a town or village, so that the qualitative evidence mirrors the urban-rural comparison examined in the survey.

4.4 Findings

[To be completed after the interviews. Findings will be coded into themes such as sales-representative and van visit frequency, delivery and credit terms, refrigeration support, demand pull from customers, and retailer margins. Two to three verbatim quotations will be presented for each theme to explain why the availability gap measured in the survey exists.]

Chapter 5: Survey, Data Collection and Findings

5.1 Survey Method

The descriptive phase uses a structured, self-administered electronic survey built in Google Forms and distributed through social media and messaging applications. The electronic mode was chosen because it is fast and inexpensive, achieves wide geographic reach, and removes interviewer bias. Its main limitation is that it skews toward online and more urban respondents; this is acknowledged below and is partly offset by the retailer interviews.

5.2 Questionnaire Design

The questionnaire was written in Egyptian Arabic to suit general respondents and is organized into six sections: screening and consumption; where and what consumers buy; choice drivers; availability; attitudes; and demographics. It combines multiple-choice, checkbox, five-point importance and agreement scales, and grid questions. Each construct in the analytical model is measured by specific questions, as summarized in the table below.

Hypothesis	Measured by
H1: availability influences choice	Importance rating of availability; agreement that availability affects brand choice
H2: Danone availability below Juhayna	Availability grid; ease-of-finding comparison; agreement that Danone is hard to find
H3: lost sales and switching	Gap between most-bought and most-preferred brand; not-found incidence; action taken when not found
H4: gap larger in rural areas	Availability measures cross-tabulated by area type

5.3 Sampling

Because the population of Egyptian yogurt consumers cannot be fully enumerated and the survey is distributed online, the study uses non-probability convenience and snowball sampling. A target of 100 to 150 completed responses was set, spread as widely as possible across governorates and area types. The reliance on non-probability sampling is stated openly as a limitation that constrains the statistical generalization of the results.

5.4 Data Collection

The live survey was created and is collecting responses. Respondents reach it through the public link, and responses are captured automatically in Google Forms for export to a spreadsheet for analysis.

5.5 Findings

[To be completed once data collection closes. This section will report the achieved sample size and profile, then present the results for each research question and hypothesis using frequency tables, cross-tabulations, and charts. Planned analyses include: distribution of purchase locations; importance of availability versus other choice drivers; the availability grid comparing Danone with Juhayna; the proportion of respondents who could not find Danone and what they

did instead; the gap between most-preferred and most-bought brand as a measure of lost sales; and a cross-tabulation of availability by area type to test whether the gap is wider outside major cities.]

5.6 Limitations

- Non-probability convenience and snowball sampling limits statistical generalization to the full population.
- The electronic mode under-represents consumers with limited internet access, particularly in some rural areas.
- Availability is measured as perceived by consumers rather than by physical store audits.
- The qualitative retailer sample is small and purposive, suitable for insight rather than projection.

Chapter 6: Conclusions and Recommendations

6.1 Conclusions

[To be finalized after analysis. The conclusions will state, on the basis of the evidence, whether and to what degree limited availability depresses Danone's sales and drives switching to competitors, and will answer the management decision problem about expanding distribution reach.]

6.2 Preliminary Recommendations

Pending confirmation by the primary data, the secondary evidence already points to several directions for management to consider:

1. Prioritize closing the coverage gap in high-density traditional-trade areas where small shops drive most dairy sales, since this is where absence most directly costs sales.
2. Evaluate partnership or third-party distribution models to extend reach faster and at lower capital cost than building an owned fleet comparable to Juhayna's.
3. Strengthen retailer support, such as visit frequency, refrigeration, and flexible terms, to win shelf space against entrenched competitors.
4. Scale the rural micro-distribution approach where building conventional cold-chain logistics is not yet economic.

References

Each citation number used in this report corresponds to one of the numbered sources below. Links were accessed in June 2026.

- [1] Malhotra, N. K. Essentials of Marketing Research, 1st Edition. Pearson Education. (Definitions of marketing research, the research process, problem definition, research design, secondary data, and qualitative research.)
- [2] Juhayna Food Industries. Distribution (company website) and published strategic analysis. Figures: 39 distribution centers, 1,000+ vehicles, ~243,000 retail outlets, network described as the largest among peers. juhayna.com/farm-to-fork/distribution / [strategic analysis](#)
- [3] Danone Egypt. About Us and Impact (company website). Figures: 7 direct and 24 indirect distribution centers, ~100,000 points of sale, and the OMDA rural micro-distribution program (about 380 micro-distributors reaching ~50,000 retailers). danone.eg/about-us-new / danone.eg/impact
- [4] United States Department of Agriculture (USDA), Foreign Agricultural Service. Egypt Retail Foods Report (GAIN). Figures: traditional grocers about 96.6% of outlets and ~74% of dairy sales, ~113,724 traditional grocers; main hubs and cold-chain gaps. [USDA GAIN report \(PDF\)](#)
- [5] Euromonitor International. Yoghurt and Sour Milk Products in Egypt (market research report). Yogurt category leadership among Lactalis, Almarai/Beyti, and Juhayna. euromonitor.com
- [6] Mordor Intelligence. Middle East and Africa Dairy Market (industry report). Corroborates dairy market size and growth. mordorintelligence.com
- [7] Futurism (Vocal Media). Egypt Dairy Products and Eggs Market Analysis. Market size of about USD 2,367.9 million in 2024, projected to about USD 5,237.1 million by 2033. [vocal.media Egypt dairy analysis](#)